



Plan of Action

Are you a victim of decision paralysis and endowment effect? You might be if:

- You have a hard time choosing investment options
- You react adversely when your decisions turn out poorly
- You buy products on trial but never return them
- You delay making investment and spending decisions
- You hold on to stocks you own
- You go on company visits and buy stocks
- You do not have a retirement plan in place

There is no fixed action plan to deal with such situations. However, here are some suggestions you can bear in mind when you have to make a decision.

Deciding not to decide is also a decision. Postponements and delays may seem to be the path of least resistance. Taking a decision means moving away from your existing level of comfort. You have a 50 per cent chance of being right and a 50 per cent chance of being wrong. If you prefer the status quo and don't take a decision you lose the 50 per cent chance of being better off. In times of constant change it may not be in your interest to indulge in your present comfort mode.

Consider the opportunity costs. You believe that investing in stocks is a risky decision. You prefer to keep your money in bank deposits. This is not wrong, but when you invest in stocks you are investing in the future. Suppose when you had the opportunity to invest in stocks you didn't and the price went up. You would regret not taking a chance when you could. Imagining the benefits that would accrue will help you to overcome your resistance to change.

Put yourself on autopilot. Every month earmark a fixed sum towards investment in stocks. This will enable you to ride the bull and the bear waves without panicking. On the contrary you will be able to manage the heartburns that come with this volatility. If